

SENATE BILL 2080

By Watson

AN ACT to amend Tennessee Code Annotated, Title 56;
Title 63; Title 68 and Title 71, relative to
TennCare.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-32-124, is amended by adding the following as a new subsection:

(d) Notwithstanding another law, beginning July 1, 2026, the first one hundred fifty million dollars (\$150,000,000) of tax revenue collected pursuant to this section must be utilized to draw down federal funds to reimburse a physician, advanced practice registered nurse, or physician assistant who is entitled to receive TennCare reimbursement for a CPT code for evaluation and management, obstetrics and gynecology, or anesthesia pursuant to § 71-5-175.

SECTION 2. Tennessee Code Annotated, Title 71, Chapter 5, Part 1, is amended by adding the following as a new section:

71-5-175.

(a) As used in this section:

(1) "Advanced practice registered nurse" has the same meaning as defined in § 63-7-126;

(2) "CPT code" means the unique numerical designations established by the American Medical Association for various medical, surgical, and diagnostic services used in billing healthcare services;

(3) "Physician" means a person licensed to practice medicine pursuant to title 63, chapter 6, or osteopathic medicine pursuant to title 63, chapter 9; and

(4) "Physician assistant" means a person licensed pursuant to title 63, chapter 19.

(b) Notwithstanding another law, beginning July 1, 2026, the first one hundred fifty million dollars (\$150,000,000) of tax revenue collected under the health maintenance organization tax levied pursuant to § 56-32-124 must be utilized to draw down federal funds to reimburse a physician, advanced practice registered nurse, or physician assistant who is entitled to receive TennCare reimbursement for a CPT code for evaluation and management, obstetrics and gynecology, or anesthesia.

(c) Reimbursement under subsection (b) must be allocated up to one hundred ten percent (110%) of the current medicare reimbursement rate for the same CPT code.

(d) The bureau of TennCare and the department of commerce and insurance may promulgate rules to effectuate this section. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 3. For the purpose of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it, and applies to TennCare reimbursements for services provided on or after that date.